

Setting an Indicative Budget



AMENDMENT

In December 2024, this chapter was amended to reflect feedback received following a full tri.x legal review of the Care Act 2014 Resource section, Meeting Needs.

[December 16, 2024](#)

1. Using this Procedure

This procedure will explain what an indicative budget is, how to set one and what to do if the budget that is set is not sufficient to meet the person's/carer's eligible needs.

2. Understanding what an Indicative Budget is

An indicative budget is a 'ball-park' figure calculated immediately following the assessment. It estimates the amount of money it may take to meet eligible needs and is based on information gathered during any assessment process.

The indicative budget is refined during the Care and Support/Support planning process to arrive at a personal budget figure that represents the final amount the Local Authority agrees is sufficient to meet all of the persons/carers eligible needs. The final amount may be greater or less than the original indicative budget estimated.

3. Why an Indicative Budget is Important

An indicative budget is important because it helps the person/carer (and anyone supporting them) to develop a Care and Support/Support Plan and make appropriate choices about how their needs can be met. Knowing how much financial resource is available manages expectations and reduces the risk of dissatisfaction when the final personal budget is agreed.

4. When an Indicative Budget Should be Set

In order for the personal budget approach to be successful, the indicative budget should be set before the Care and Support/Support planning process begins.

Starting any planning process without having a clear indicative budget should be avoided.

5. The Process of Setting an Indicative Budget

Indicative budgets should be set in line with local processes and requirements.

The process of setting an indicative budget should be timely, transparent and ensure a sufficient amount to meet the identified eligible needs.

See: [The Personal Budget](#) to read what the Care Act says about setting indicative and personal budgets, including more about what is meant by the terms *timely*, *transparent* and *sufficient*.

It is your responsibility to familiarise yourself with and use any available local processes and guidance for setting an indicative personal budget.

6. Sharing the Indicative Budget

The indicative budget **must** be shared with the following people as soon as it is known:

- a. The person/carer whose needs are to be met;
- b. Any advocate involved; and

c. Anyone else involved in the Care and Support/Support planning process.

You should also make available any information to explain how the indicative budget amount was reached.

If it is available the outcome of any financial assessment process being carried out should also be provided at this stage. Understanding the implications for their personal finances can influence the options that a person/carer chooses to explore during Care and Support/Support planning.

7. What to do if the Indicative Budget is not Sufficient

The indicative budget is only an estimation of the amount it may cost to meet eligible needs. It will be refined during the Care and Support/Support planning process and the final personal budget that is agreed may be higher or lower than the indicative budget.

However, despite being estimated, the indicative budget should still be sufficient to support effective Care and Support/Support planning.

7.1 If you do not feel it is sufficient

If you are of the view that the indicative budget is not sufficient to support effective Care and Support/Support planning you should:

- a. Review the formal record of needs to ensure that you have not made any recording errors; and
- b. Review the process that you followed to set the indicative budget to ensure that you followed all the required steps.

If you continue to have concerns about the sufficiency of the indicative budget you should speak to your line manager to agree further action required and next steps.

Any process for reviewing an indicative budget should also be timely and transparent.

7.2 If the person/carer does not feel it is sufficient

Sometimes a person/carer (or their representative) may feel that the indicative personal budget is not sufficient. If you are in agreement with this you should follow the steps outlined above.

However, if you feel that the budget is sufficient to commence Care and Support/Support planning you should:

- a. Provide information about the process used to set indicative budgets;
- b. Encourage them to engage with the Care and Support/Support planning process;
- c. Explain that, during the Care and Support/Support planning process the final personal budget will be decided and that, if necessary, may be higher than the indicative budget amount.

Despite reassurances the person/carer may continue to be dissatisfied with the indicative personal budget amount and in this case you must make them aware of their right to complain.

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